



2026 Hawaii Tax Commission

Sept. 18, 2026

Business Perspective On Hawaii's State & Local Taxes

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Agenda

- COST Introduction
- Comparative Hawaii & National State and Local Tax Composition
- Business Perspective on the Hawaii General Excise Tax (GET)
- State and Local Tax Administration Best Practices
- Corporate Income Tax Design



COST Introduction



COST's Policy Positions

COST is a non-profit trade association of over 450 multi-jurisdictional companies.

COST's advocacy is governed by a broad set of public policy objectives. When advocating on issues, COST first looks to its official policy statements, which are approved by the COST Board of Directors.

COST does not take a position on a state's overall level of taxation or on tax rates. COST's objective is to preserve and promote equitable and nondiscriminatory state and local taxation of multijurisdictional business entities.

COST's Policy Statements are publicly available at: www.cost.org.

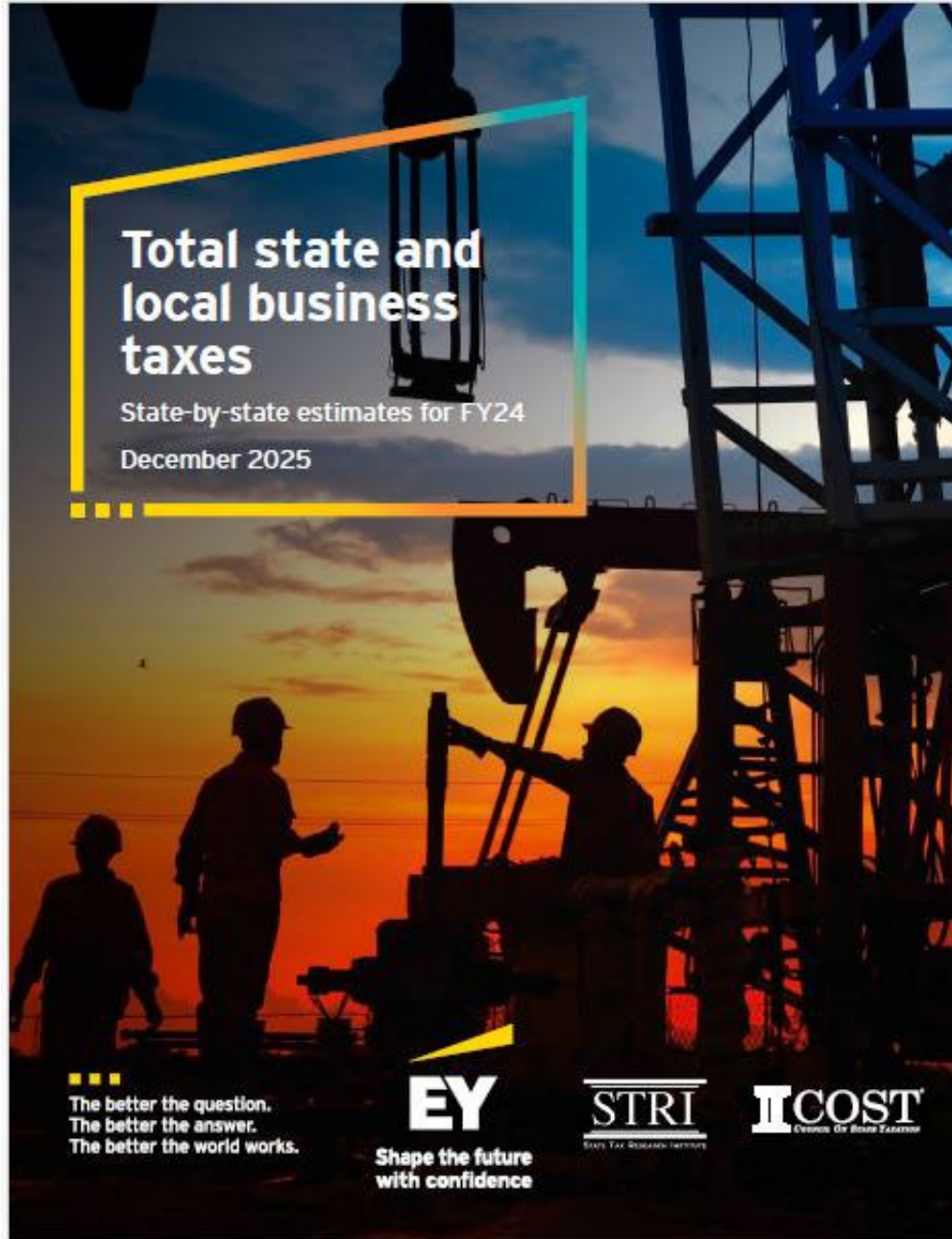


COST's Scorecards:

- COST presently has 4 Scorecards addressing the states' administrative practices
 - Administrative Scorecard
 - Sales Tax Systems Scorecard
 - International Property Tax Scorecard (issued with IPTI)
 - Unclaimed Property Scorecard
- Focus is primarily on using objective criteria of important administration with bias towards issues of concern with business taxpayers
 - Scorecards do not grade subjective personalities of state tax administrators
- **Letter grading is for comparison purposes with goal to encourage tax policy makers (e.g., legislators) to improve administrative practices**
 - It is acknowledged and understood that tax administration varies significantly state-by-state
- COST appreciate input in the process and wish to personally thank all the government administrators that answered our surveys on the states' administrative practices



Comparative Hawaii and National State and Local Tax Composition



Business Tax Burden Study

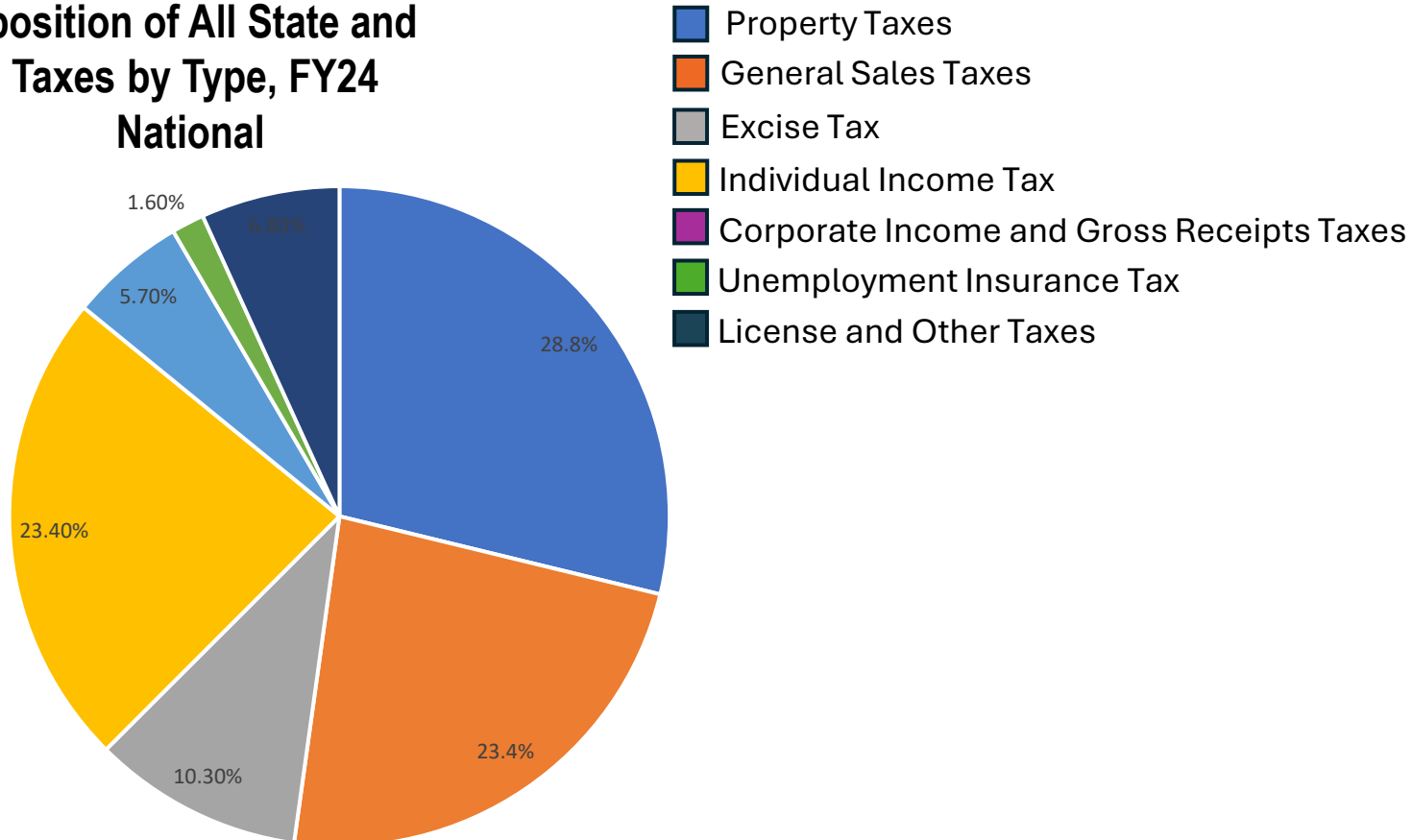
Total State and Local Business Taxes: State-by-State Estimate for FY24

by Phillips and Sallee, EY, December 2025

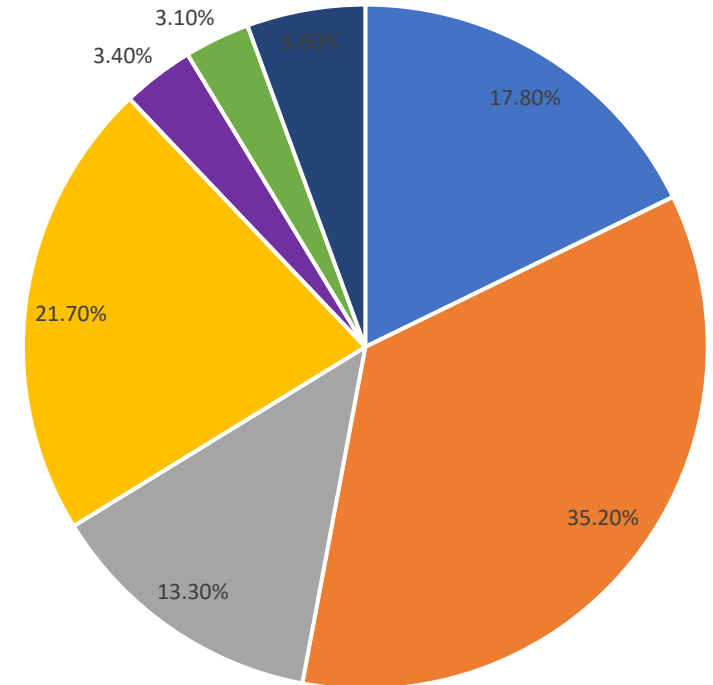


FY 2024 State and Local Tax Composition – Hawaii vs. United States

Composition of All State and Local Taxes by Type, FY24 National

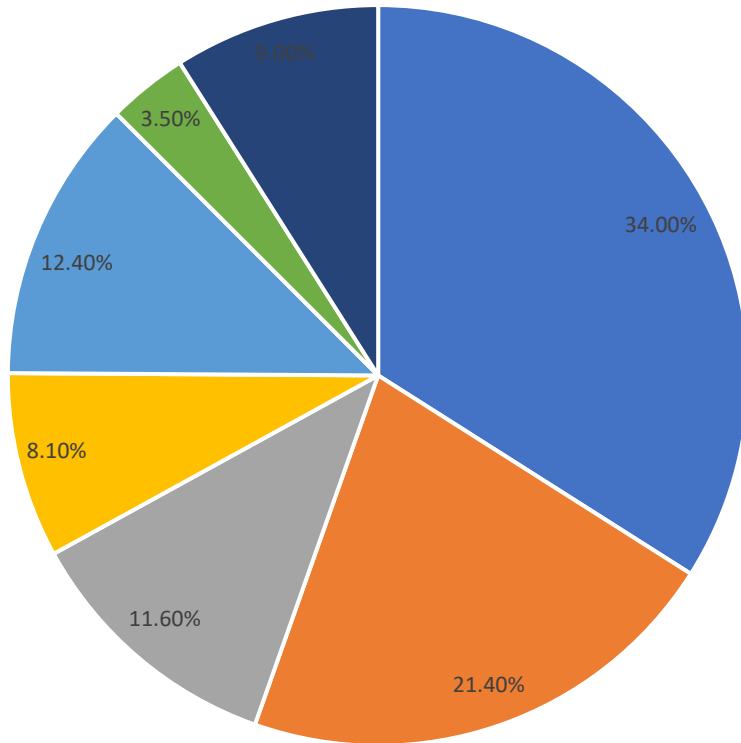


Composition of All State and Local Taxes by Type, FY24 Hawaii



FY 2024 State and Local Business Tax Burden Study

Composition of State and Local Business Taxes by Type, FY24 United States

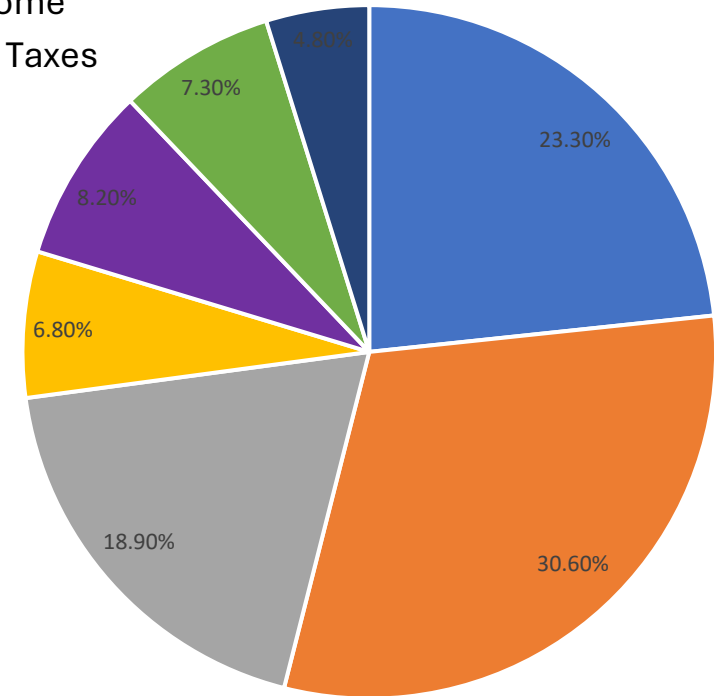


- Property Taxes on Business Property
- General Sales Taxes on Business Inputs
- Excise Tax
- Individual Income Tax on Business Income
- Corporate Income and Gross Receipts Taxes
- Unemployment Insurance Tax
- License and Other Taxes

How Much Do Businesses Pay?

- Businesses paid over \$6.3 billion in Hawaii state and local taxes in FY24, an increase of 9.3% from FY23
- In FY24, business tax revenue accounted for 41.6% of all state and local tax revenue in Hawaii

Composition of State and Local Business Taxes by Type, FY24 Hawaii



Source: Total State and Local Business Taxes: State-by-State Estimates for FY24, prepared by Ernst & Young for COST and STRI, December 2025



Business Perspective on the Hawaii General Excise Tax (GET)



Business Perspective on Hawaii's GET

Good stuff:

- Low GET rate: 4.5% rate (4.0 state plus .5% in most counties) vs. U.S. average of 7.5% state and local sales tax rate
- Broad tax base inclusion of B2C goods and services

Deviation from Optimal Consumption Tax Design

- Widespread taxation of B2B (business inputs) resulting in tax pyramiding
 - No full sale for resale exemption: .5% rate for wholesaling and manufacturing activities, but full rate for sales of most business inputs
- Utilization of outdated “turnover” tax model

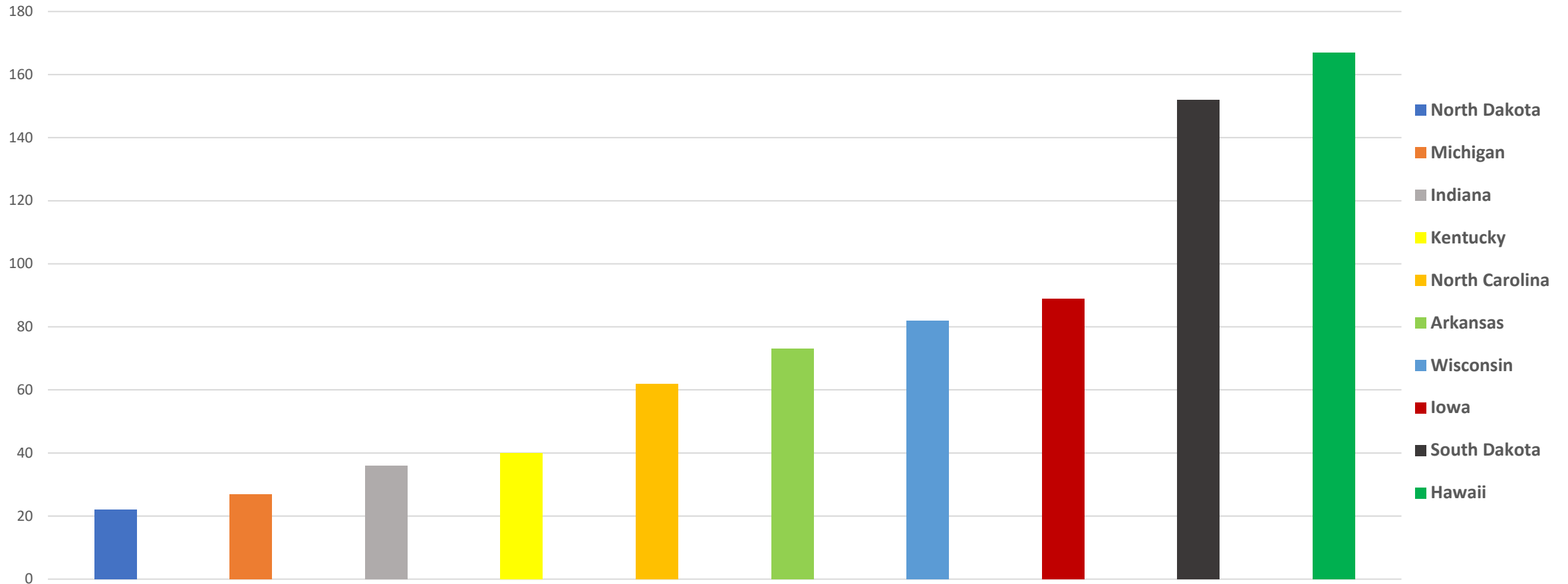
Regressivity impact of high GET and excise share of all Hawaii state and local taxes

- Offset by graduated rate personal income and corporate income taxes
- Hawaii is in the middle of the states in ITEP's progressivity/regressivity study
- Tax systems balance progressivity (ability to pay) with revenue balance and stability

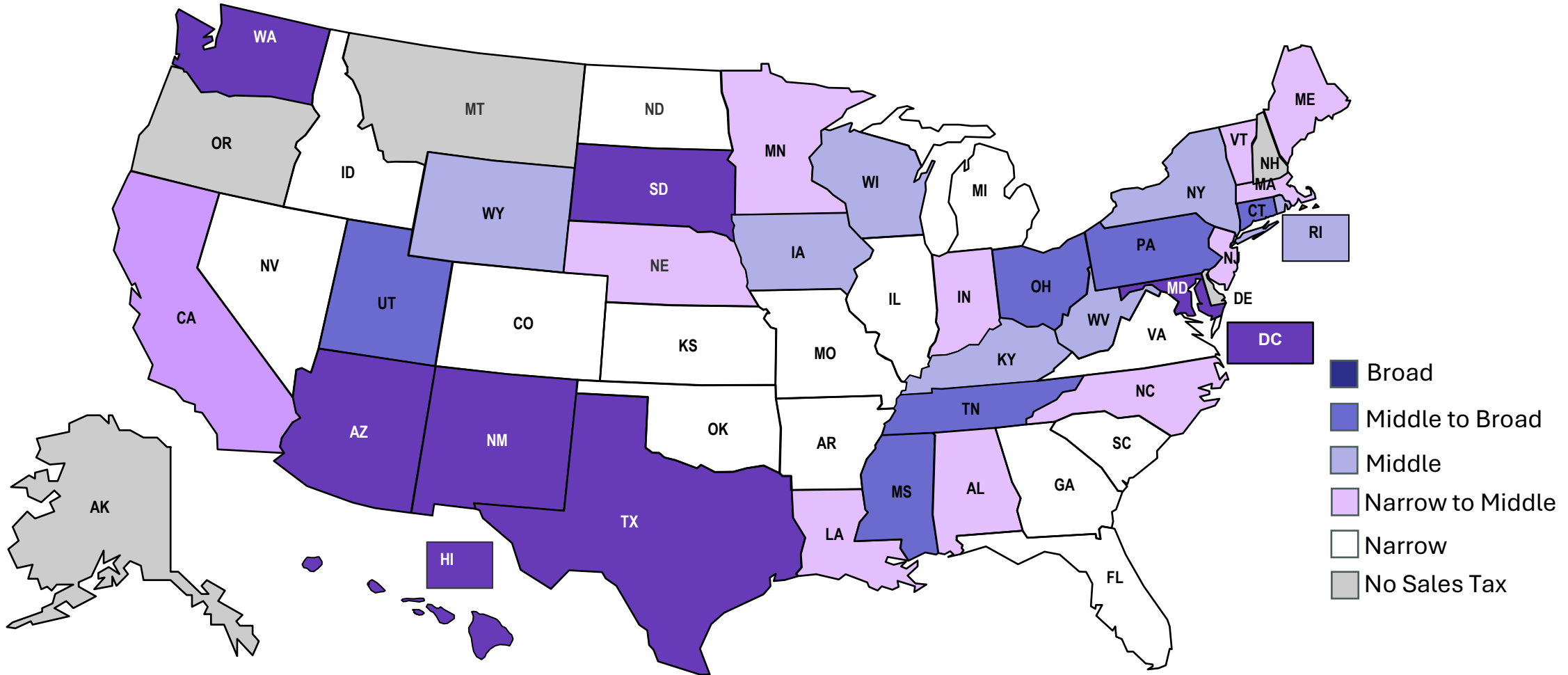
Hawaii already taxes digital advertising as part of its GET base and therefore does not need to enact a separate gross receipts tax on digital advertising



Hawaii Has a Broad Number of Services Taxed compared to SSUTA Member States (Out of 176 Service Categories) (FTA 2017 survey)

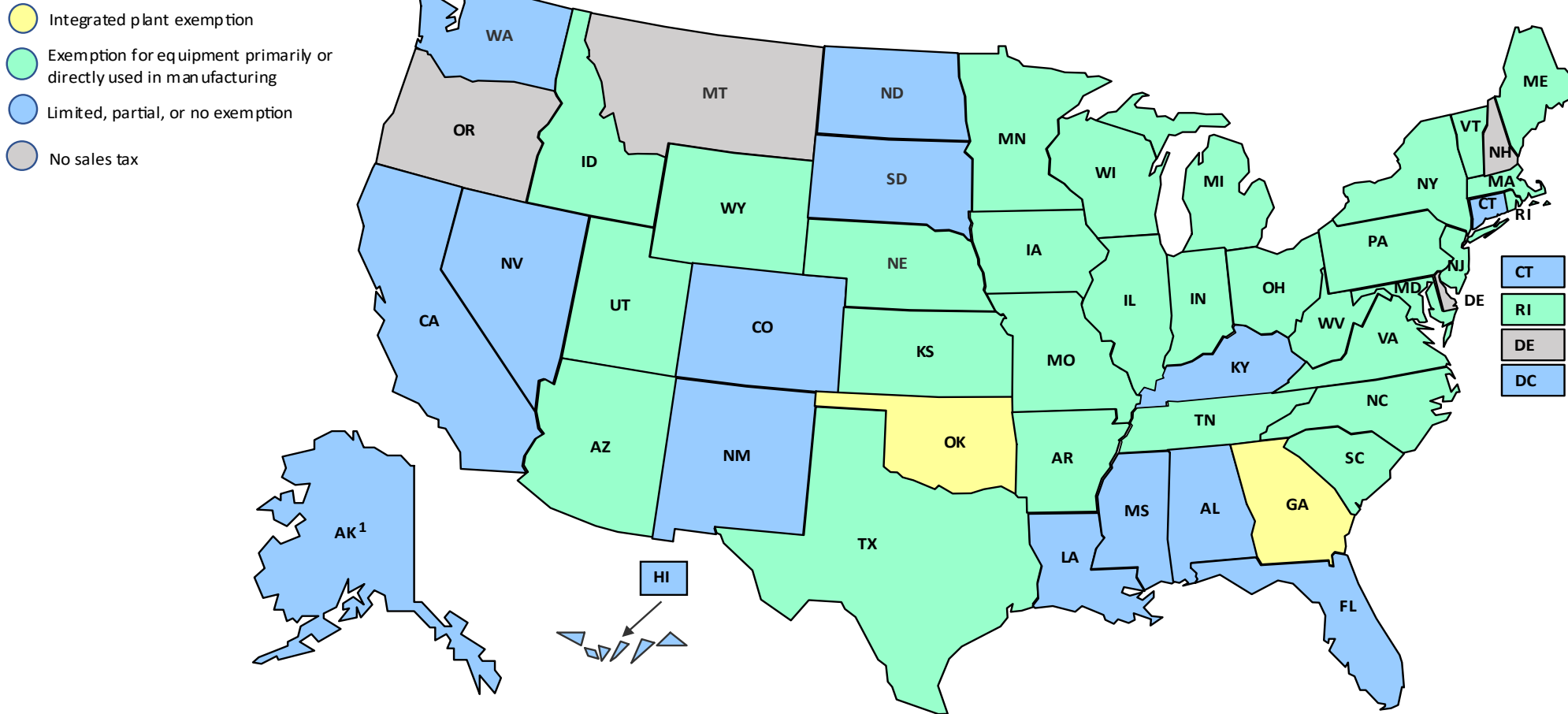


State Sales Tax Systems: Narrow, Middle, and Broad Sales Tax Bases on Digital Products



Source: MTC Survey Results (2026)

Breadth of States' Manufacturing Equipment Exemption



Disclaimer: This information should be used for general guidance and not relied upon for compliance.

Source: Council On State Taxation (COST)

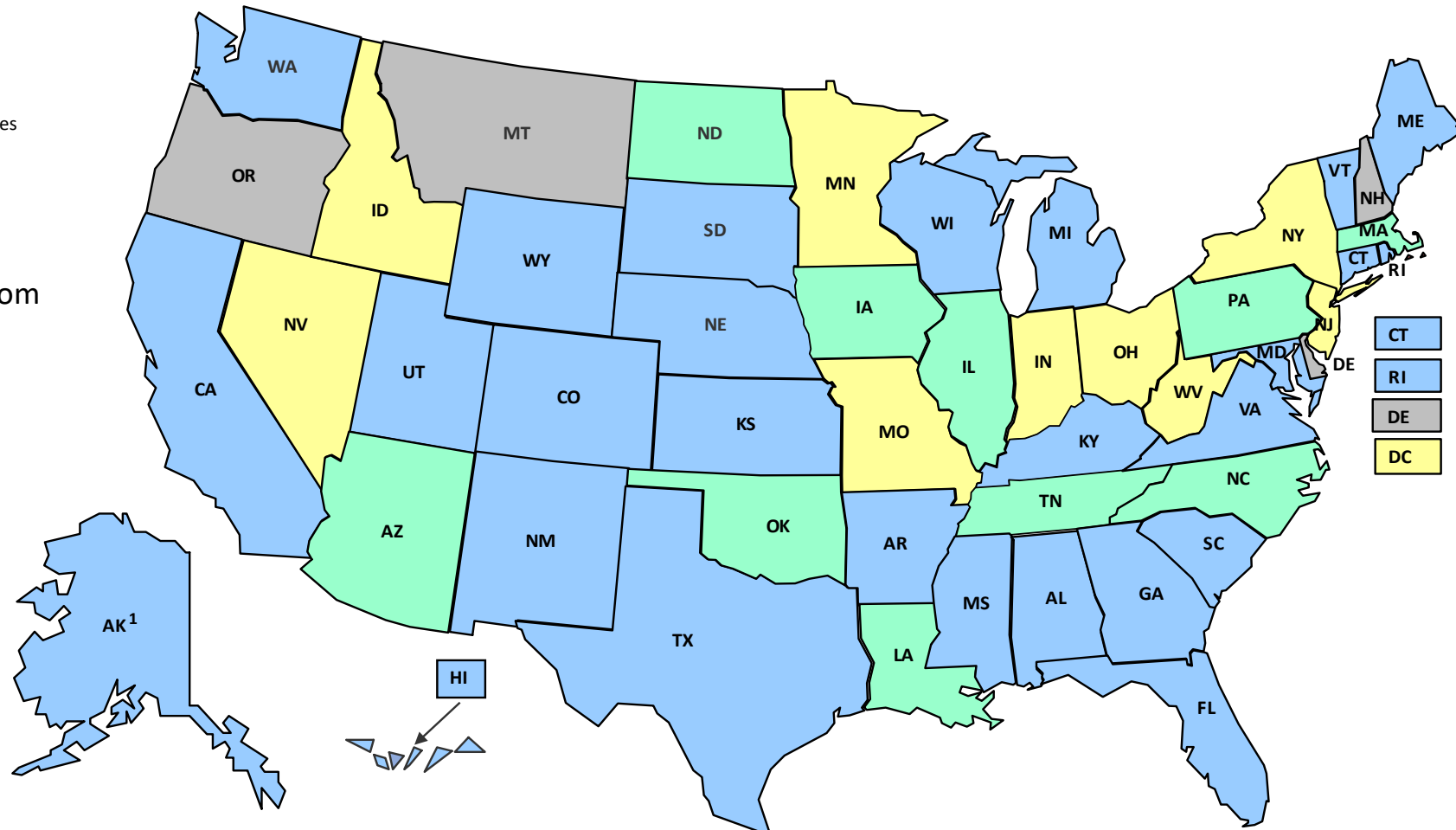
¹AK - Data is based on local municipalities since Alaska does not have a state-wide sales tax

Double Taxation (Inputs and Outputs) of Select Services

-  No double taxation
-  Double taxes one industry
-  Double taxes two or three industries
-  No sales tax

Select Service Industries

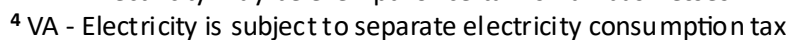
- Wired and Wireless Telecom
- Cable
- Electric and Gas



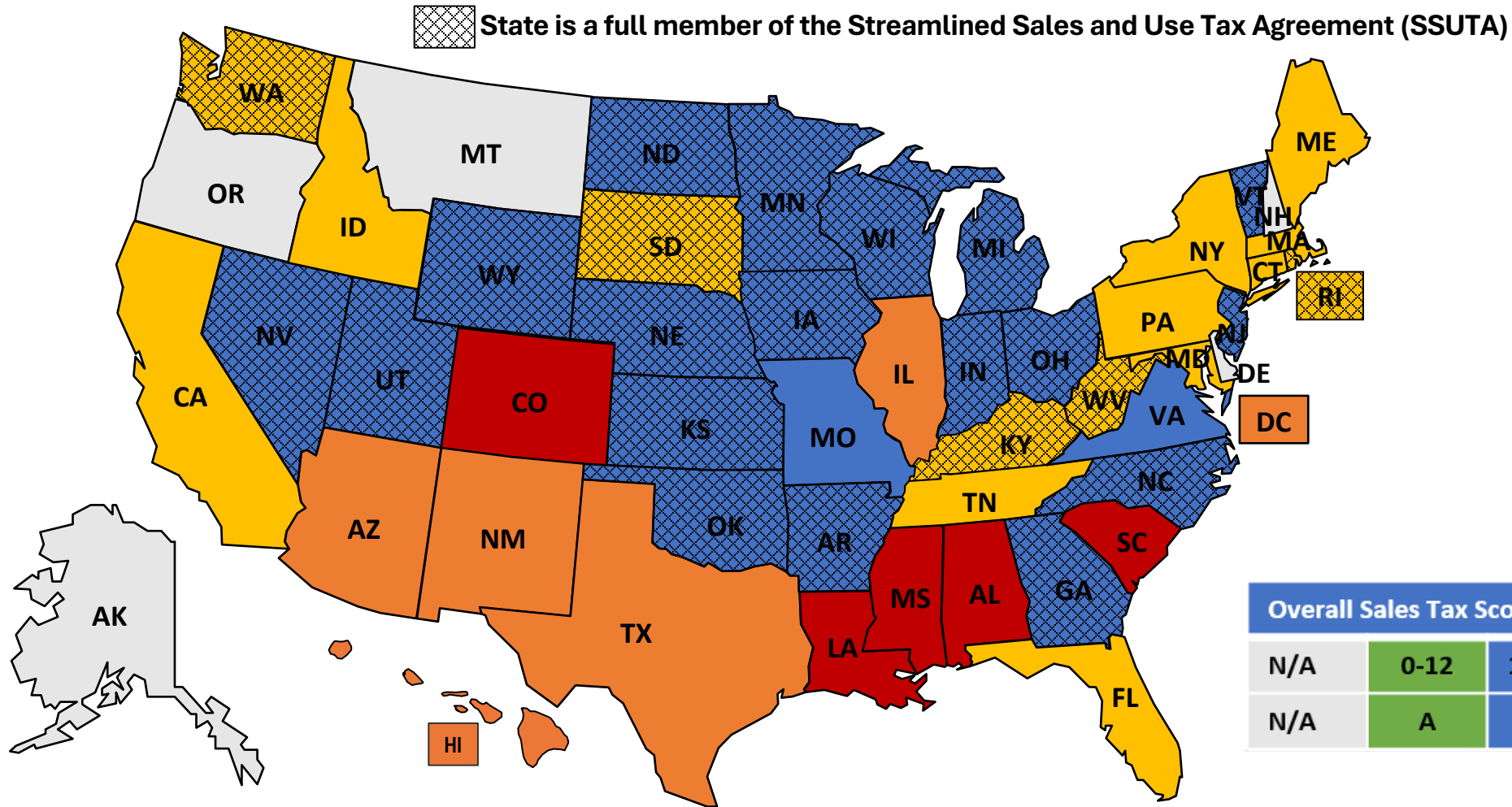
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Source: Council On State Taxation (COST)

¹AK - Data is based on local municipalities since Alaska does not have a state-wide sales tax



Sales Tax Scorecard: State Grades



Overall Sales Tax Scorecard Grades

N/A	0-12	13-20	21-26	27-29	30+
N/A	A	B	C	D	F

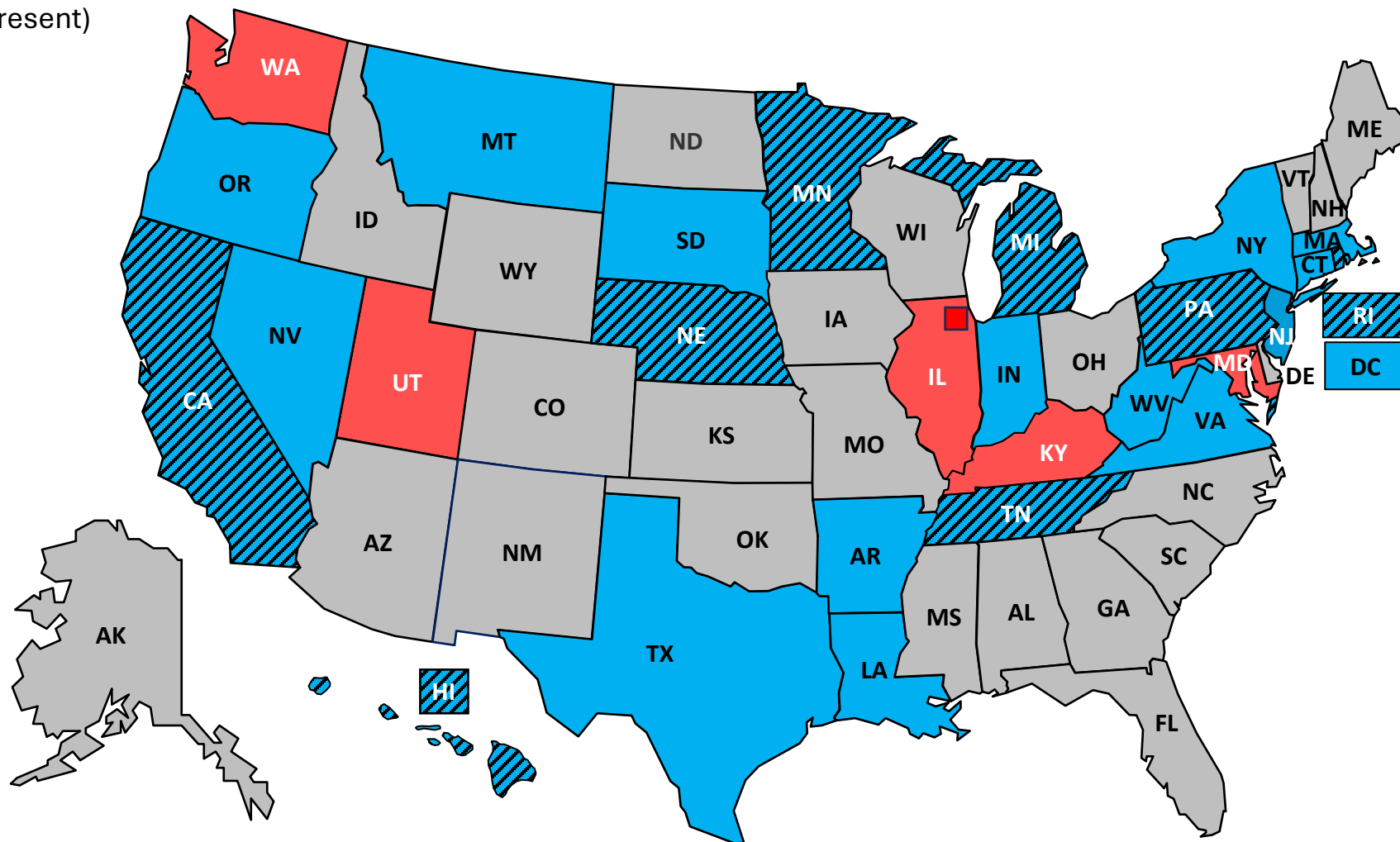
Note: Because Alaska has no statewide sales tax, its was not given an overall grade



 No Legislation Proposed

 2026 Proposals:

- CA A.B. 796
- Chicago SMAT (enacted, eff. 1/26)
- HI H.B. 1458
- IL S.B. 3019 (enacted, eff. 1/27)
- KY H.B. 757 (enacted, eff. 8/26)
- MD H.B. 468
- MI Governor's FY27 Budget
- MN S.F. 5052, H.F. 4343, S.F. 4787
- NE L.B. 1025
- PA S.B. 1199/H.B 1678
- RI S.B. 2028/H.B. 8198
- TN S.B. 2512
- UT S.B. 287 (enacted, eff. 1/27)



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State & Local Tax Administration Best Practices



Best Practices for Hawaii

Things Hawaii can do to improve tax administration:

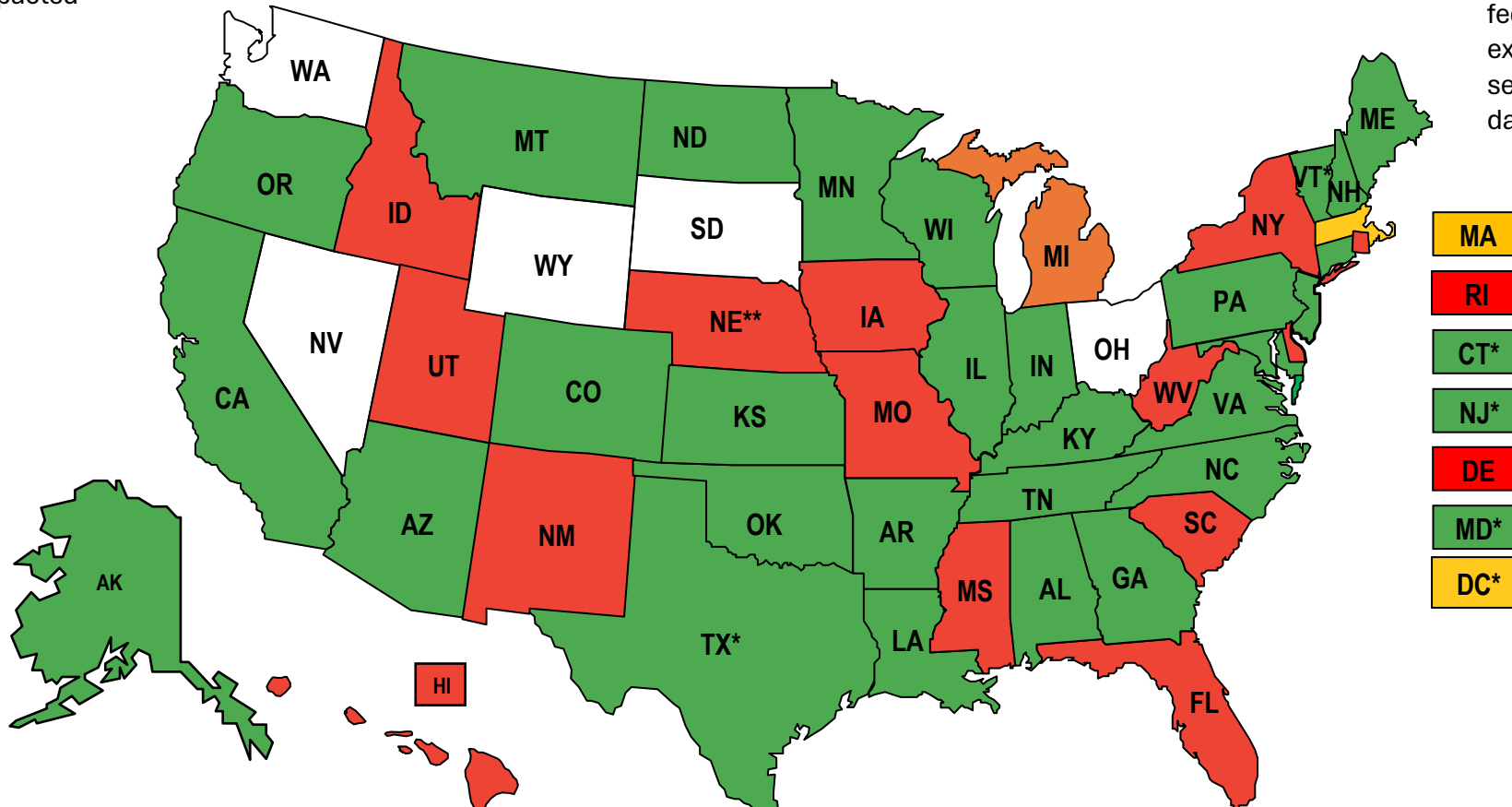
- **Extend the due date for filing corporate income tax returns one month or more beyond the federal extended due date**
- **Expand the 60 day safe harbor for nonresident traveling employees to reporting, not just withholding**
- **Enhance Federal audit change reporting**
- **Provide adequate time for appeals (90 days)**
- **Apply even-handed interest rates**

One Month Extension Beyond the Federal Extended Due Date for Filing Corporate Income Tax Returns

- Original or extended return deadline at least one month after federal
- Original or extended return deadline at least one month after federal for combined filers only
- Original and extended return deadline less than one month after federal
- MI has an 8-month extension (2 months after federal extended due date) but taxpayer must file tentative return and copy of federal extension request by original due date
- States not impacted

* Original or extended return deadline one month after federal but extension is NOT automatic (CT, MD, NJ, TX, VT, DC)

** NE requires taxpayer to file NE Form 7004N on or before the date the federal extension expires to request an extension of time that cannot exceed seven months after the original due date of the return



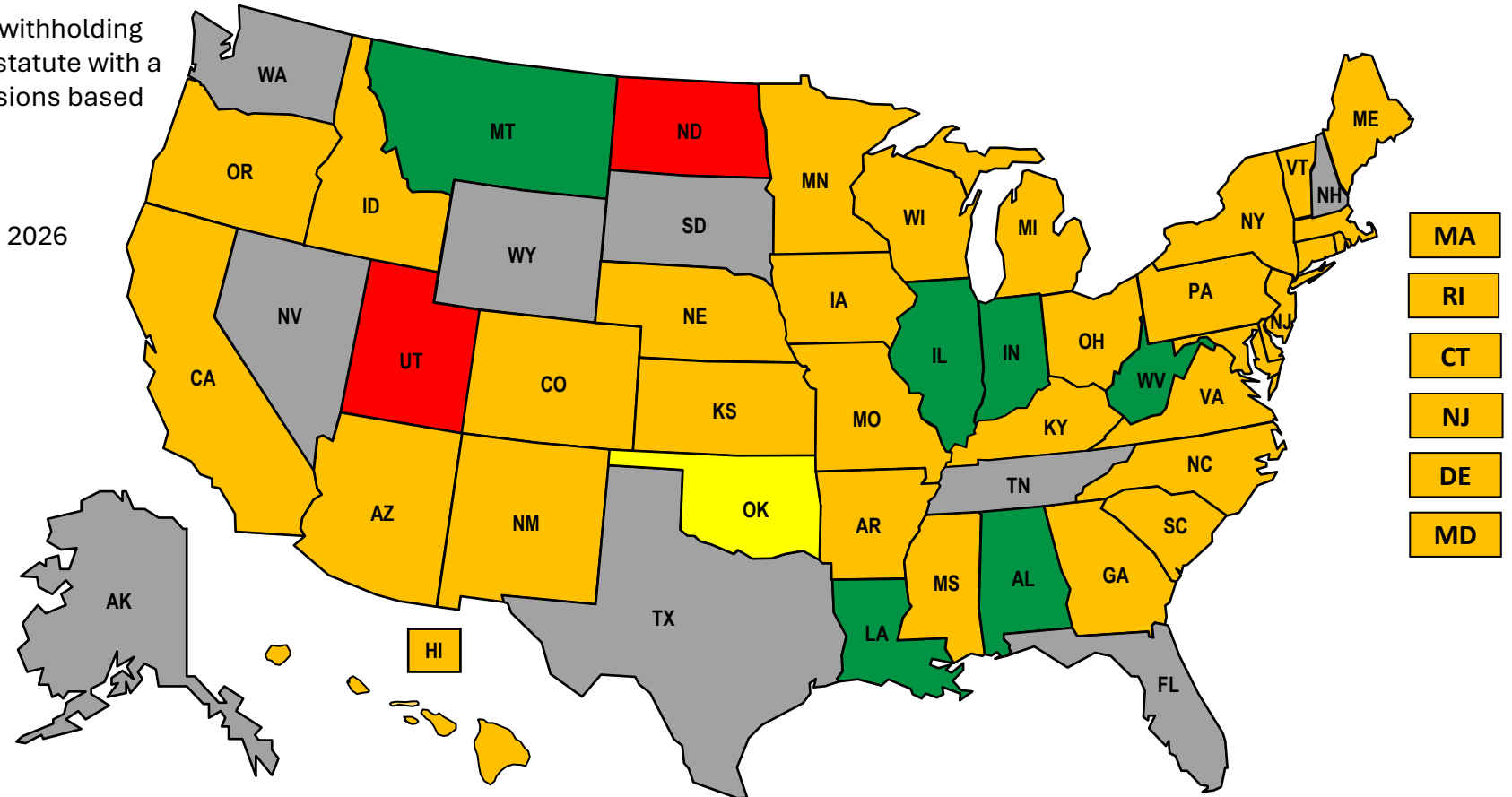
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Source: Council On State Taxation (COST) – Updated March 2026

30-Day Safe Harbor for Nonresident Traveling Employees

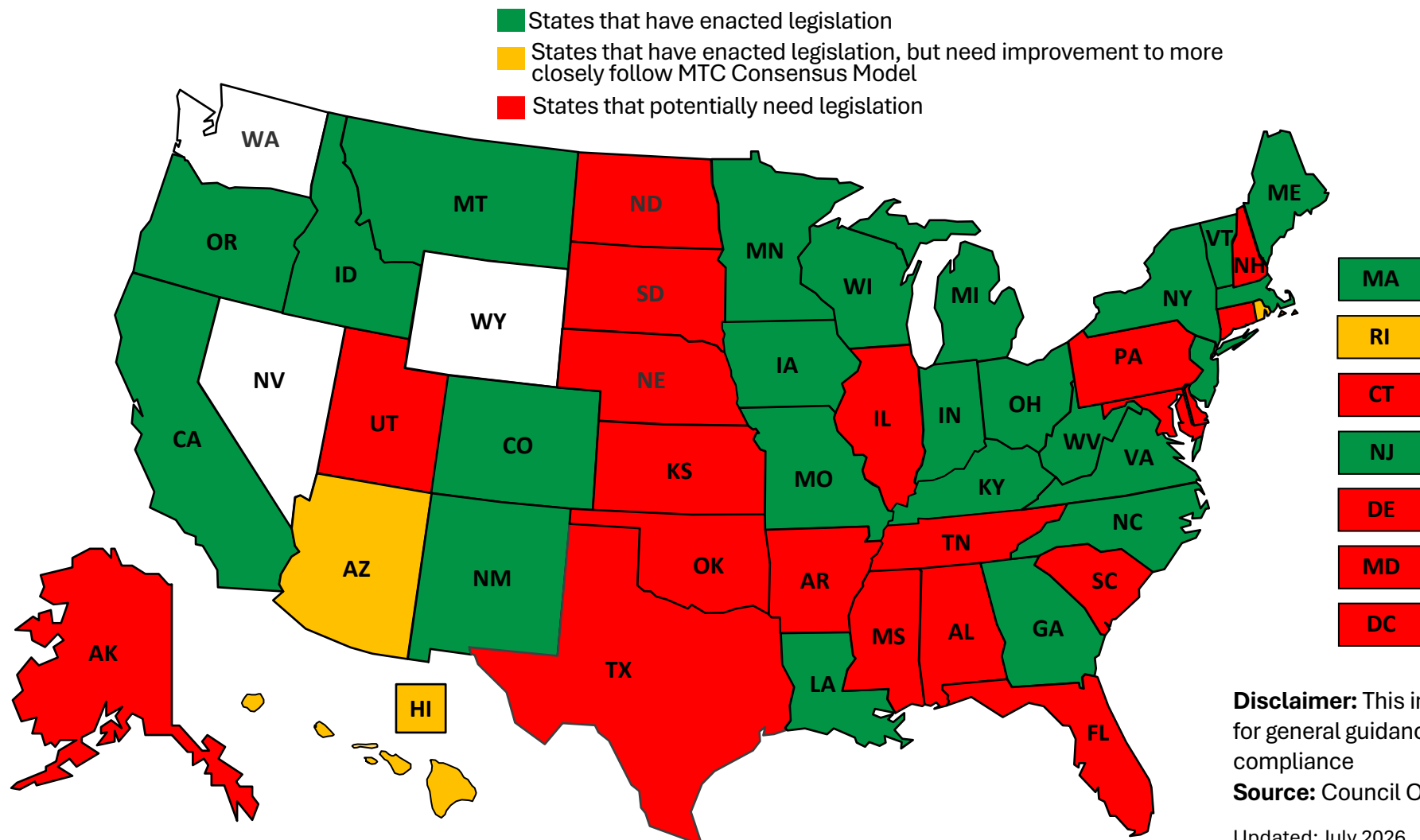
- State has enacted a 30-day threshold for both filing and withholding
- States that need a 30-day safe harbor for both filing and withholding obligations (AZ and HI have a 60-day, and VT has a 30-day threshold for withholding only)
- States that need a 30-day safe harbor for filing and withholding obligations and they have enacted the MTC model statute with a 20-day threshold and additional complicated provisions based on wages earned
- No general state personal income tax
- State with legislation introduced but not enacted in 2026

On April 10, 2025, Senators Thune (R-SD) and Cortez Masto (D-NV) reintroduced the federal legislation as S. 1443



Disclaimer: This information should be used for general guidance and not relied upon for compliance
Source: Council On State Taxation (COST) – Updated March 2026

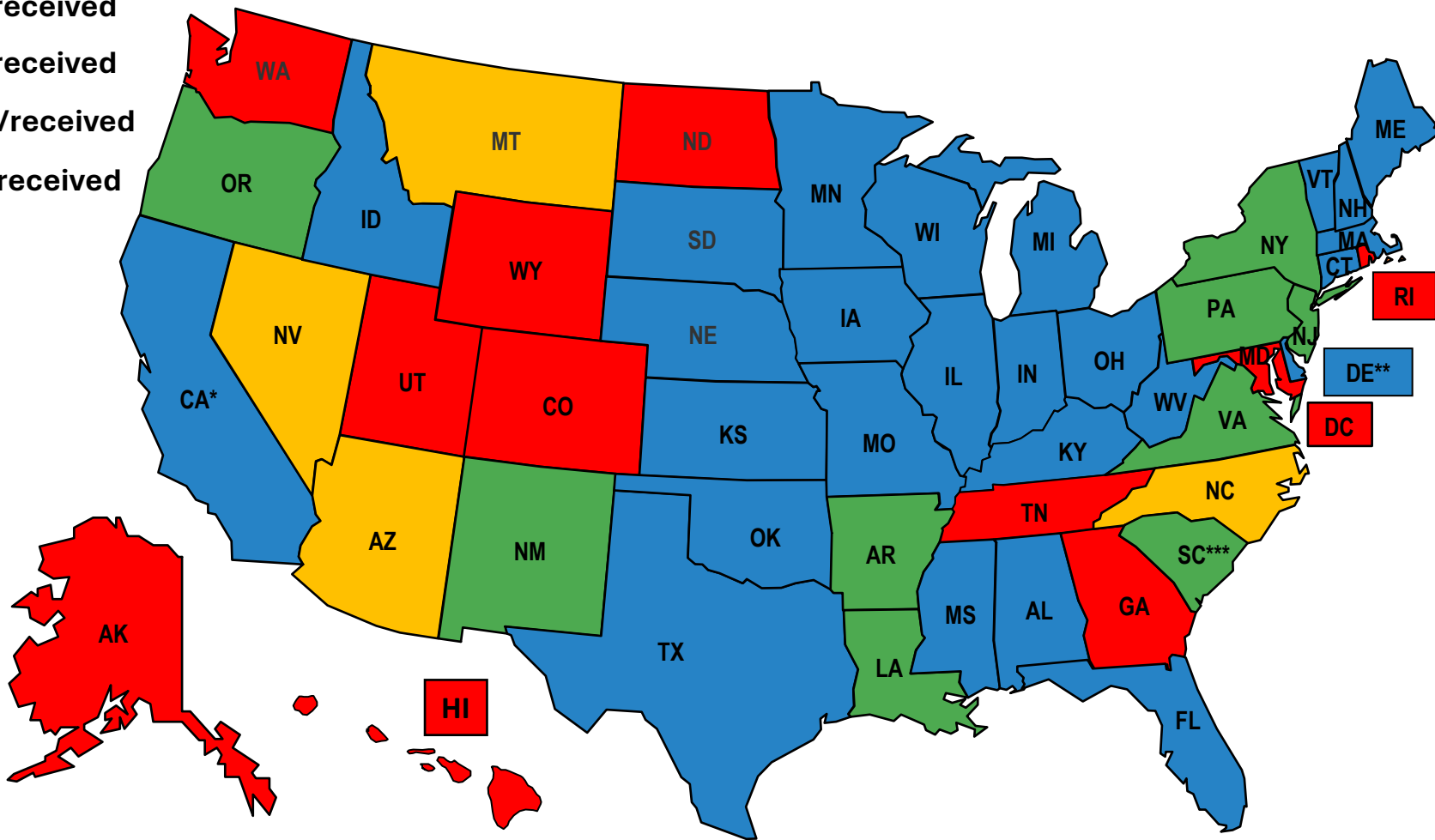
MTC Consensus Model for Federal Audit Change Reporting



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Source: Council On State Taxation (COST)

Updated: July 2026



***SC: 30 days to appeal a Dept.
determination beginning on the date of
the determination. CID-25 7/21/20)

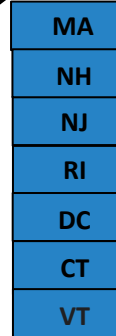


Corporate Income Tax Design



Hawaii Corporate Income Tax Overview

- The Hawaii CIT rate of 6.4% on all taxable income over \$100,000 is close to the national average state/local CIT rate.
- Hawaii requires Water's Edge Combined Reporting as do a majority of other states.
- Hawaii does not require mandatory Worldwide Combined Reporting – consistent with all other states.
- Hawaii does not include GILTI or NCTI (foreign source income) in its CIT base – consistent with a slight majority of all states.
- Hawaii's conformity to key CIT provisions of OBBBA – static with conformity for 168(j) only (not 174 and rest of 168)
- Hawaii applies equally weighted three factor apportionment for corp income tax unlike the majority of states that use single sales factor





Thank You!

Questions?